T-12 OPERATING STATEMENT

Ridgeline Manor | Dallas, TX

Property	Ridgeline Manor
Period Ending	May 13, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	64 units

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	104,209	113,468	109,903	100,787	102,334	110,988	104,843	109,230	113,822	108,063	109,501	114,574	1,301,723
4010 Loss to Lease	62,558	59,969	62,263	57,701	56,642	61,676	60,773	55,342	59,127	59,171	60,850	56,926	713,000
4020 Vacancy Loss	92,348	80,999	92,066	84,304	87,647	87,858	90,262	84,457	89,288	92,311	92,289	80,905	1,054,734
4030 Concessions	17,447	16,913	19,162	18,032	18,258	17,239	17,583	18,320	18,060	17,367	17,493	17,317	213,191
4040 Bad Debt	16,285	15,518	15,855	16,109	15,965	15,655	15,180	15,550	15,314	15,808	15,571	15,562	188,371
4050 Late Fees	76,030	74,045	77,562	77,840	68,796	70,708	68,473	76,229	70,531	74,909	75,419	70,063	880,605
4060 Utility Reimbursements	27,584	28,060	25,702	27,541	26,597	28,110	27,399	25,649	27,765	27,096	26,489	25,595	323,587
4070 Parking Income	54,699	55,859	59,162	60,024	58,884	57,978	58,429	58,603	55,938	54,135	58,846	57,417	689,974
4080 Application Fees	42,034	40,801	41,251	43,384	38,715	43,438	42,567	40,913	40,983	41,059	42,337	43,023	500,507
4090 Pet Rent	56,579	63,158	59,558	56,318	62,378	60,714	56,741	61,644	60,333	56,844	56,382	63,715	714,364
4100 Laundry Income	1,321	1,280	1,280	1,188	1,320	1,271	1,232	1,281	1,249	1,276	1,264	1,195	15,157
4110 Cable/Internet Revenue	54,495	56,636	56,305	58,060	58,974	52,464	57,709	59,436	57,891	57,649	52,964	59,545	682,128
4120 CAM Reimbursements	52,057	57,779	53,148	55,188	54,769	54,150	50,430	53,659	52,393	50,515	52,741	53,649	640,478
4130 Tax Reimbursements	56,343	56,102	51,146	53,106	57,423	54,884	52,423	56,274	57,067	50,572	52,145	50,711	648,196
4140 Insurance Reimbursements	68,049	68,951	66,581	65,338	65,476	64,985	63,330	63,788	64,150	67,653	69,595	66,723	794,618
4150 Percentage Rent	54,887	55,439	58,745	57,280	55,798	55,282	62,002	61,547	57,564	60,669	56,150	56,492	691,855
4160 Misc. Income	86,157	89,878	86,171	87,442	89,132	92,225	92,019	86,706	93,271	92,994	82,858	87,517	1,066,370
4170 Payroll - Management	5,888	6,291	5,797	5,915	5,803	6,410	5,968	6,074	6,134	5,717	5,862	5,608	71,469
4180 Payroll - Leasing	3,552	3,247	3,212	3,106	3,275	3,434	3,500	3,113	3,342	3,340	3,380	3,482	39,983
4190 Payroll - Maintenance	1,382	1,248	1,419	1,269	1,356	1,405	1,376	1,360	1,333	1,267	1,364	1,248	16,028
4200 Payroll Taxes & Benefits	2,464	2,399	2,488	2,385	2,421	2,667	2,552	2,481	2,417	2,648	2,668	2,563	30,155
4210 Repairs - Plumbing	6,133	5,884	6,507	6,031	6,500	5,798	6,000	6,325	6,106	6,142	5,953	6,405	73,785
4220 Repairs - HVAC	10,604	10,518	9,714	10,606	10,339	9,520	10,384	10,356	10,092	9,490	10,234	10,037	121,895
4230 Repairs - Electrical	4,600	4,447	4,265	4,055	4,482	4,038	4,546	4,417	4,352	4,178	4,515	4,407	52,301
4240 Repairs - Appliances	10,372	11,028	11,401	10,677	11,262	10,472	10,565	11,054	10,233	11,337	11,440	10,301	130,143
4250 Painting & Decorating	7,997	8,581	8,595	8,209	8,596	8,473	8,565	8,167	8,600	7,677	8,507	8,586	100,554

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	3,567	3,428	3,248	3,651	3,585	3,568	3,637	3,337	3,428	3,479	3,305	3,555	41,788
4480 Real Estate Taxes	2,570	2,627	2,486	2,383	2,403	2,529	2,465	2,322	2,612	2,385	2,384	2,575	29,741
4490 Asset Management Fee	1,787	1,707	1,849	1,786	1,844	1,766	1,831	1,789	1,862	1,760	1,711	1,826	21,517
4500 Replacement Reserves	5,046	4,623	5,013	5,130	5,009	4,877	4,931	4,937	4,969	4,576	4,580	4,648	58,340
4510 Roof Repairs	11,180	11,068	11,176	12,296	12,648	11,536	11,681	11,821	11,646	12,091	11,409	12,469	141,022
4520 Parking Lot Repairs	7,893	7,534	8,181	7,840	7,707	7,587	8,201	7,766	8,355	7,848	7,655	8,499	95,065
4530 Signage	10,377	11,292	11,524	10,888	11,752	10,754	11,757	10,591	10,980	11,526	11,081	10,615	133,136
4540 Tenant Improvements	5,456	5,137	5,527	5,037	5,321	5,285	5,311	5,429	5,178	5,225	5,279	5,141	63,326
4550 Leasing Commissions	11,459	11,860	11,747	12,156	13,049	11,958	11,687	11,927	11,491	11,725	12,514	11,872	143,446
4000 Gross Potential Rent	102,359	112,293	113,848	107,363	106,129	114,079	104,162	115,334	106,511	111,548	107,961	115,051	1,316,638
4010 Loss to Lease	38,994	39,545	37,300	40,271	38,175	38,236	39,013	37,179	38,791	39,420	38,081	39,377	464,383
4020 Vacancy Loss	3,834	4,020	3,878	3,897	3,753	3,912	3,831	4,177	4,233	3,908	3,975	4,054	47,472
4030 Concessions	35,661	35,501	35,678	36,539	36,853	38,878	36,485	37,057	38,951	34,555	38,215	38,311	442,685
4040 Bad Debt	77,118	86,556	77,141	86,151	86,279	79,089	82,757	85,883	85,891	80,594	82,399	78,232	988,090
4050 Late Fees	84,841	83,246	79,718	85,613	86,036	83,495	77,329	82,157	82,563	77,382	84,648	82,155	989,183
4060 Utility Reimbursements	21,509	21,167	23,961	23,963	21,003	23,180	23,600	23,210	20,925	20,927	22,105	22,672	268,221
4070 Parking Income	85,978	85,021	84,614	91,945	89,004	84,226	88,008	88,928	86,780	82,992	83,242	83,179	1,033,915
4080 Application Fees	68,663	71,584	71,642	72,055	66,429	67,067	67,674	71,255	68,680	73,371	73,037	66,796	838,255
4090 Pet Rent	14,628	14,627	14,627	14,613	15,347	15,544	15,446	15,109	14,701	15,330	13,841	15,170	178,984
4100 Laundry Income	47,939	49,354	48,492	47,806	43,237	46,583	45,825	44,522	49,013	45,224	45,036	44,386	557,419
4110 Cable/Internet Revenue	31,187	31,477	27,892	30,656	29,226	30,633	28,196	31,204	29,296	29,151	29,713	27,836	356,467
4120 CAM Reimbursements	60,894	60,423	54,942	59,575	57,995	59,732	57,839	57,234	62,883	57,893	59,043	59,900	708,352
4130 Tax Reimbursements	23,568	20,728	21,511	21,957	21,196	22,396	21,725	22,410	21,952	21,758	23,514	20,869	263,584
4140 Insurance Reimbursements	4,175	3,695	3,892	3,735	4,015	4,066	4,094	3,887	4,056	3,866	4,165	3,767	47,413
4150 Percentage Rent	6,711	6,454	6,960	6,453	6,609	6,764	6,425	7,367	7,017	6,511	7,144	6,826	81,241
4160 Misc. Income	51,764	53,630	56,483	58,108	57,025	58,462	57,926	52,673	58,254	54,079	52,643	52,825	663,872
4170 Payroll - Management	3,925	3,881	3,840	4,026	3,936	3,624	3,942	3,901	3,745	4,090	4,031	3,820	46,760
4180 Payroll - Leasing	3,235	3,264	3,025	3,077	3,259	3,056	2,926	2,958	3,261	3,251	3,008	3,154	37,473
4190 Payroll - Maintenance	2,298	2,324	2,326	2,398	2,513	2,513	2,285	2,346	2,247	2,372	2,367	2,519	28,509
4200 Payroll Taxes & Benefits	2,178	2,326	2,444	2,174	2,268	2,286	2,254	2,160	2,201	2,263	2,446	2,461	27,460
4210 Repairs - Plumbing	4,324	4,556	4,570	4,059	4,150	4,359	4,358	4,405	4,254	4,655	4,175	4,343	52,209
4220 Repairs - HVAC	12,765	12,804	12,089	12,519	12,475	13,433	12,147	12,080	12,202	13,371	12,822	12,048	150,754
4230 Repairs - Electrical	13,705	12,700	12,225	13,398	12,452	13,600	13,641	12,092	12,598	12,396	13,357	11,969	154,132
4240 Repairs - Appliances	2,619	2,764	2,764	2,661	2,555	2,595	2,518	2,678	2,743	2,605	2,512	2,469	31,481
4250 Painting & Decorating	11,610	11,886	11,673	11,346	12,273	11,538	12,130	11,514	12,230	12,186	11,200	11,042	140,629
4260 Flooring	4,439	4,847	4,500	4,516	4,574	4,973	4,525	4,486	4,668	4,898	4,582	4,669	55,676
4270 Make-Ready / Turnover	5,533	5,897	6,047	5,539	5,538	5,586	6,146	6,116	5,788	5,713	5,859	5,917	69,678
4280 Landscaping Contract	7,436	7,448	7,736	7,337	7,442	7,538	7,410	7,691	7,741	8,114	7,654	8,022	91,568
4290 Snow Removal	3,654	3,601	3,836	3,697	3,802	4,136	3,897	3,684	3,853	4,007	3,734	3,730	45,632
4300 Janitorial	10,621	11,991	11,250	11,988	11,389	10,954	10,492	11,305	10,550	10,828	11,032	11,943	134,344
4310 Pest Control	9,408	10,093	9,229	10,533	9,451	9,620	9,660	10,597	9,244	10,032	9,260	10,240	117,366
4320 Trash Removal	9,931	10,189	10,035	10,205	10,623	10,206	10,616	10,313	10,617	10,956	9,713	10,319	123,720
4330 Elevator Contract	9,869	10,427	9,711	10,527	10,834	10,243	10,842	9,975	10,381	10,029	10,426	10,964	124,228
4340 Fire & Life Safety	1,466	1,400	1,482	1,470	1,397	1,509	1,528	1,580	1,424	1,586	1,415	1,526	17,784
4350 Security	2,948	2,884	2,809	2,842	2,641	2,777	2,715	2,913	2,955	2,961	2,840	2,767	34,053
4360 Electricity - Common	10,031	10,455	9,693	10,030	9,697	10,502	9,921	9,914	9,612	10,102	9,760	9,780	119,499
4370 Gas - Common	10,232	10,563	11,369	10,450	10,166	10,018	10,861	10,019	10,647	10,709	10,951	11,350	127,336

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Valuation Discussion

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift.

Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Operating expenses totaled $166,000 or approximately 19.25 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.03x on a trailing basis against a covenant minimum of 1.20x. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 89.4% with an average resident length of stay of 5 years.

Management Commentary

Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. Collections for the period were 90.0% of billed charges, with bad debt of 7.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 8 hours. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Service requests are tracked through a work-order system with an average completion time of 10 hours. Occupancy stands at 92.6% with an average resident length of stay of 12 years. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Dining, housekeeping, transportation and activities programming are included in the base fee.

Financial Analysis

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Debt service coverage ratio was 5.35x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift. Occupancy stands at 95.4% with an average resident length of stay of 10 years. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

The community provides assisted living and memory care services under a state-issued license with 38 full-time caregivers per shift. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 93.6% with an average resident length of stay of 6 years. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Service requests are tracked through a work-order system with an average completion time of 38 hours. Collections for the period were 92.9% of billed charges, with bad debt of 6.8% of gross potential income. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 36 full-time caregivers per shift.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 91.6% with an average resident length of stay of 3 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Valuation Discussion

The going-in capitalization rate of 7.20% reflects the in-place income and the stabilized occupancy assumption. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 36 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.75x on a trailing basis against a covenant minimum of 1.20x.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Effective gross income for the trailing period was $267,000, representing a 8.9% increase over the prior year. Operating expenses totaled $370,000 or approximately 18.39 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

Property Operations

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	7,459	6,931	6,969	7,184	7,233	6,690	7,302	7,241	6,647	7,422	7,145	6,862	85,086
4370 Gas - Common	7,683	8,576	8,326	7,921	8,078	8,445	7,668	7,997	8,364	8,045	8,090	7,790	96,982
4380 Water & Sewer	11,530	10,871	11,367	11,224	11,329	11,735	11,025	11,621	10,605	11,763	10,521	11,632	135,224
4390 Telephone/Internet	1,449	1,441	1,460	1,500	1,420	1,413	1,424	1,436	1,398	1,506	1,381	1,410	17,237
4400 Advertising	6,061	5,994	6,422	5,761	5,789	5,986	6,072	6,119	5,836	5,889	5,965	6,070	71,964
4410 Resident Events	6,981	6,744	6,986	6,363	6,157	6,162	6,716	6,372	6,414	6,867	6,422	6,248	78,431
4420 Office Supplies	10,715	9,756	9,959	10,130	9,699	9,784	9,716	10,868	10,619	10,012	10,425	10,669	122,353
4430 Legal & Professional	6,287	6,407	6,269	6,507	5,909	5,971	6,435	5,812	6,276	6,519	5,983	6,598	74,973
4440 Accounting & Audit	4,384	4,531	3,993	4,500	4,187	4,291	4,182	4,106	4,447	4,098	4,156	4,509	51,382
4450 Licenses & Permits	7,876	8,105	8,907	8,581	8,937	8,961	8,071	9,017	8,112	8,656	8,015	7,947	101,185
4460 Management Fee	11,904	12,665	11,747	13,076	12,840	11,974	12,283	12,577	12,502	12,055	12,365	12,526	148,513
4470 Property Insurance	3,279	3,438	3,613	3,351	3,701	3,716	3,359	3,431	3,258	3,700	3,448	3,263	41,557
4480 Real Estate Taxes	3,048	2,832	2,828	2,772	2,748	3,072	2,970	3,009	2,854	2,960	3,008	2,867	34,968
4490 Asset Management Fee	5,728	5,328	5,040	5,661	5,637	5,085	5,341	5,152	5,495	5,258	5,005	5,134	63,864
4500 Replacement Reserves	10,606	10,110	10,199	10,731	11,040	10,233	10,433	10,205	9,984	10,126	11,075	10,111	124,853
4510 Roof Repairs	1,162	1,232	1,190	1,108	1,111	1,225	1,167	1,157	1,111	1,108	1,153	1,178	13,901
4520 Parking Lot Repairs	6,466	6,533	6,944	6,915	6,573	6,993	6,389	6,926	6,588	6,997	6,732	6,520	80,578
4530 Signage	5,869	6,184	6,086	5,775	6,230	6,332	5,926	6,004	5,970	6,336	6,239	5,663	72,613
4540 Tenant Improvements	3,268	3,301	3,081	3,063	3,162	3,078	3,104	3,138	3,060	3,012	3,289	3,145	37,702
4550 Leasing Commissions	8,150	8,109	8,013	8,035	7,862	7,407	8,064	7,881	7,670	7,413	7,748	7,598	93,949
4000 Gross Potential Rent	108,180	102,202	103,277	115,476	111,382	101,951	101,111	103,169	114,408	109,711	106,483	101,421	1,278,771
4010 Loss to Lease	40,999	39,747	39,480	44,772	43,610	42,712	40,165	44,229	41,875	42,909	41,226	44,264	505,989
4020 Vacancy Loss	22,303	22,194	23,643	22,198	24,387	23,208	24,357	22,920	22,248	24,773	22,292	25,128	279,653
4030 Concessions	80,056	84,467	78,934	80,878	87,113	81,252	89,595	78,911	84,377	81,667	78,176	79,887	985,313
4040 Bad Debt	27,013	26,802	26,880	25,511	27,158	25,701	26,177	24,231	24,473	24,887	25,855	24,073	308,761
4050 Late Fees	9,709	9,140	9,579	8,690	8,716	9,630	8,934	8,696	8,787	9,137	9,195	8,789	109,001
4060 Utility Reimbursements	46,324	44,144	44,028	47,302	45,863	47,476	47,295	44,738	47,685	49,198	44,109	47,158	555,321
4070 Parking Income	12,226	12,408	12,682	13,363	12,325	13,949	13,148	13,781	12,839	13,172	12,808	12,665	155,367
4080 Application Fees	36,821	36,929	34,651	39,366	36,901	36,436	34,979	34,990	37,401	34,909	38,591	39,143	441,117
4090 Pet Rent	67,676	74,070	74,184	66,474	70,996	67,257	67,249	71,457	71,354	69,304	73,033	74,377	847,430
4100 Laundry Income	53,988	49,510	50,244	49,933	47,578	51,713	49,973	49,311	47,417	47,144	53,747	51,848	602,406
4110 Cable/Internet Revenue	5,740	5,204	5,439	5,458	5,395	5,315	5,951	5,503	5,691	5,561	5,907	5,526	66,689
4120 CAM Reimbursements	75,818	77,633	74,043	82,261	78,753	77,917	82,789	75,161	78,937	75,399	80,044	81,691	940,447
4130 Tax Reimbursements	9,909	9,126	9,584	8,854	9,697	9,506	8,950	10,098	10,066	9,567	9,016	9,368	113,740
4140 Insurance Reimbursements	14,239	15,197	14,109	15,779	13,945	15,554	15,747	13,874	15,444	14,579	15,401	14,865	178,732
4150 Percentage Rent	68,990	73,128	77,281	68,802	71,916	73,640	74,598	74,209	68,274	77,125	72,668	68,082	868,713
4160 Misc. Income	65,858	63,911	70,256	72,182	69,926	63,417	69,102	72,469	69,262	72,792	72,535	72,219	833,927
4170 Payroll - Management	6,388	6,550	6,968	6,378	7,319	6,539	6,693	6,904	6,997	6,419	6,862	6,544	80,560
4180 Payroll - Leasing	2,434	2,562	2,431	2,469	2,281	2,398	2,313	2,355	2,398	2,553	2,497	2,382	29,071
4190 Payroll - Maintenance	5,824	5,633	5,535	5,915	5,467	5,739	5,656	5,689	5,551	5,411	5,932	5,552	67,904
4200 Payroll Taxes & Benefits	6,094	6,434	5,849	6,414	5,605	5,735	6,278	5,822	6,144	5,653	6,139	5,776	71,944
4210 Repairs - Plumbing	13,010	12,695	13,282	12,457	12,419	13,385	13,278	12,350	12,645	13,112	13,244	12,703	154,579
4220 Repairs - HVAC	2,820	3,034	3,127	2,909	2,845	2,927	2,853	2,857	3,089	2,877	2,858	2,961	35,156
4230 Repairs - Electrical	8,333	8,020	8,149	8,720	8,345	8,103	8,536	7,830	8,851	8,363	7,909	8,431	99,590
4240 Repairs - Appliances	3,788	3,990	3,638	3,832	3,961	4,038	3,940	3,644	3,579	3,911	4,017	3,821	46,157
4250 Painting & Decorating	9,524	9,948	9,070	9,374	9,682	9,501	9,640	8,928	9,317	9,148	9,569	9,736	113,440

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Effective gross income for the trailing period was $267,000, representing a 5.3% increase over the prior year. The going-in capitalization rate of 5.47% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee. Effective gross income for the trailing period was $258,000, representing a 12.0% increase over the prior year. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

Property Operations

Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.3% of billed charges, with bad debt of 7.9% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

The community provides assisted living and memory care services under a state-issued license with 12 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.0% of billed charges, with bad debt of 6.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $63,000 or approximately 32.02 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Occupancy stands at 89.3% with an average resident length of stay of 11 years.

Operating expenses totaled $300,000 or approximately 15.62 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Occupancy stands at 88.7% with an average resident length of stay of 8 years. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. The community provides assisted living and memory care services under a state-issued license with 15 full-time caregivers per shift.

Leasing and Marketing

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Service requests are tracked through a work-order system with an average completion time of 31 hours. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Dining, housekeeping, transportation and activities programming are included in the base fee. Collections for the period were 90.0% of billed charges, with bad debt of 3.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Occupancy stands at 90.6% with an average resident length of stay of 3 years. The community provides assisted living and memory care services under a state-issued license with 35 full-time caregivers per shift.

Valuation Discussion

Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption. Occupancy stands at 94.9% with an average resident length of stay of 12 years. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Effective gross income for the trailing period was $169,000, representing a 8.7% increase over the prior year.

The community provides assisted living and memory care services under a state-issued license with 28 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $257,000, representing a 10.0% increase over the prior year. Operating expenses totaled $35,000 or approximately 33.10 per square foot, with real estate taxes representing the largest line item. Occupancy stands at 90.9% with an average resident length of stay of 12 years. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	1,459	1,532	1,502	1,505	1,510	1,490	1,438	1,452	1,516	1,525	1,408	1,414	17,752
4300 Janitorial	10,052	10,328	10,165	10,034	9,775	9,974	10,343	10,259	10,680	9,856	10,693	10,699	122,858
4310 Pest Control	6,568	6,059	6,324	6,281	6,118	6,206	6,346	6,387	6,301	6,890	6,866	6,517	76,862
4320 Trash Removal	11,215	10,576	10,847	11,373	10,559	11,106	11,349	11,612	10,839	11,432	10,286	10,264	131,460
4330 Elevator Contract	6,304	6,594	6,554	6,496	6,954	6,928	6,828	6,870	6,739	6,820	6,802	6,963	80,852
4340 Fire & Life Safety	9,666	10,331	9,967	10,374	10,502	10,174	9,201	10,471	9,974	9,270	10,166	10,483	120,579
4350 Security	2,421	2,425	2,681	2,599	2,700	2,524	2,632	2,697	2,702	2,506	2,437	2,634	30,960
4360 Electricity - Common	2,818	2,636	2,905	2,848	2,638	2,662	2,644	2,925	2,679	2,867	2,743	2,785	33,151
4370 Gas - Common	9,827	10,101	10,073	10,349	10,991	10,781	10,698	10,251	11,072	10,844	10,450	11,048	126,486
4380 Water & Sewer	8,613	8,779	8,922	9,222	9,477	8,543	9,515	8,808	8,984	9,398	9,252	8,712	108,225
4390 Telephone/Internet	1,437	1,298	1,438	1,428	1,390	1,444	1,324	1,295	1,318	1,274	1,289	1,349	16,285
4400 Advertising	6,060	6,310	5,770	6,080	5,716	5,839	6,017	6,185	5,599	5,721	5,711	6,131	71,139
4410 Resident Events	7,486	7,046	6,975	6,904	7,018	7,780	7,165	7,106	7,491	6,905	7,591	7,215	86,681
4420 Office Supplies	5,590	5,280	5,751	5,501	5,609	5,688	5,059	5,228	5,494	5,724	5,081	5,482	65,486
4430 Legal & Professional	10,461	10,872	10,200	10,166	9,829	10,733	9,793	10,230	10,471	9,568	9,768	10,236	122,327
4440 Accounting & Audit	9,814	10,437	10,245	10,336	10,494	9,511	9,351	9,581	10,401	9,614	10,221	9,301	119,306
4450 Licenses & Permits	4,197	3,885	3,762	3,794	3,904	3,734	3,717	3,783	3,659	4,145	4,041	4,079	46,699
4460 Management Fee	3,456	3,364	3,298	3,368	3,125	3,326	3,532	3,423	3,205	3,316	3,437	3,529	40,379
4470 Property Insurance	6,066	6,041	6,075	6,074	5,942	6,266	5,990	5,827	6,405	6,309	6,090	6,408	73,493
4480 Real Estate Taxes	12,849	12,469	13,111	12,336	13,378	11,968	13,532	13,226	12,846	12,583	12,692	12,168	153,157
4490 Asset Management Fee	7,581	8,356	7,800	7,345	8,084	7,805	8,435	8,351	8,275	7,737	8,359	7,975	96,101
4500 Replacement Reserves	2,957	2,830	2,705	2,765	2,871	2,799	2,830	2,852	2,767	2,716	2,979	2,832	33,902
4510 Roof Repairs	13,171	12,919	12,792	11,923	11,961	12,117	13,172	12,489	12,029	12,610	12,498	13,020	150,701
4520 Parking Lot Repairs	4,482	4,427	4,541	4,621	4,430	4,528	4,594	4,562	4,452	4,459	4,827	4,518	54,442
4530 Signage	5,979	5,662	5,940	5,252	5,921	5,932	5,426	5,319	5,511	5,679	5,844	5,839	68,304
4540 Tenant Improvements	10,588	11,128	11,315	10,570	10,842	11,053	12,022	11,142	11,551	11,636	11,902	11,378	135,128
4550 Leasing Commissions	3,001	3,437	3,421	3,127	3,136	3,408	3,276	2,997	3,097	3,141	3,055	3,359	38,454
4000 Gross Potential Rent	104,454	103,992	105,468	100,597	112,870	107,093	110,623	103,333	102,109	105,750	111,032	102,535	1,269,857
4010 Loss to Lease	28,568	29,382	28,846	31,915	31,743	29,548	30,217	29,490	29,538	31,088	29,336	28,868	358,539
4020 Vacancy Loss	82,527	79,062	76,980	77,997	86,189	76,109	76,315	79,106	77,764	81,000	81,736	76,217	951,003
4030 Concessions	51,118	52,773	52,824	48,967	50,513	54,694	49,907	48,364	51,566	50,387	54,105	54,786	620,002
4040 Bad Debt	68,651	73,275	70,026	71,869	72,233	65,381	69,321	73,174	67,777	69,186	65,341	66,050	832,283
4050 Late Fees	36,442	36,978	39,331	40,007	40,415	39,781	39,718	40,152	37,762	36,301	38,285	39,387	464,559
4060 Utility Reimbursements	16,413	16,224	15,252	17,359	15,758	16,335	15,267	16,768	15,729	17,081	15,604	15,508	193,299
4070 Parking Income	37,015	36,894	36,744	34,690	38,980	35,295	36,864	36,118	38,974	39,449	37,225	38,863	447,111
4080 Application Fees	46,215	48,202	49,698	47,012	47,388	47,455	48,746	45,056	45,737	50,271	48,832	49,260	573,873
4090 Pet Rent	36,977	38,460	34,609	35,851	38,779	35,664	38,742	35,638	36,092	35,778	34,683	36,133	437,406
4100 Laundry Income	22,375	23,934	22,932	23,343	24,224	22,986	23,473	23,506	23,245	22,464	25,013	23,951	281,446
4110 Cable/Internet Revenue	39,908	37,146	41,138	36,942	39,822	37,671	39,363	40,175	38,085	37,342	36,107	38,354	462,053
4120 CAM Reimbursements	57,071	59,927	60,761	58,326	61,181	54,283	54,291	56,369	55,791	58,020	58,724	60,969	695,714
4130 Tax Reimbursements	23,882	24,850	22,872	24,689	24,780	22,054	25,271	23,958	23,220	23,083	25,065	22,788	286,515
4140 Insurance Reimbursements	30,842	32,698	33,447	34,756	30,384	30,641	33,641	34,684	32,740	32,620	30,487	32,796	389,739
4150 Percentage Rent	17,698	17,151	18,825	17,700	19,296	18,871	19,069	17,239	17,879	18,485	17,990	18,934	219,136
4160 Misc. Income	64,659	61,889	64,382	67,271	66,079	66,513	61,931	66,435	61,853	62,371	61,329	59,584	764,297
4170 Payroll - Management	10,185	11,068	10,007	9,826	10,978	10,659	10,398	10,055	11,251	10,227	10,668	9,827	125,150
4180 Payroll - Leasing	7,409	7,310	7,819	7,722	7,698	7,156	7,706	7,343	7,870	7,509	7,233	6,957	89,734
4190 Payroll - Maintenance	2,770	2,785	2,802	2,880	2,982	2,812	2,699	3,080	2,789	2,978	2,777	3,098	34,453

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. The community provides assisted living and memory care services under a state-issued license with 48 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The going-in capitalization rate of 5.54% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 7.68% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $79,000 or approximately 44.79 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 25 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 5 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day.

Valuation Discussion

The community provides assisted living and memory care services under a state-issued license with 41 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $161,000, representing a 11.4% increase over the prior year. Occupancy stands at 90.4% with an average resident length of stay of 10 years. Operating expenses totaled $63,000 or approximately 10.90 per square foot, with real estate taxes representing the largest line item.

Dining, housekeeping, transportation and activities programming are included in the base fee. Debt service coverage ratio was 6.03x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 17 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Operating expenses totaled $151,000 or approximately 39.55 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Property Operations

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 3 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 23 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members.

Collections for the period were 90.2% of billed charges, with bad debt of 4.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members.

Valuation Discussion

Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Operating expenses totaled $278,000 or approximately 41.37 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The going-in capitalization rate of 7.87% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.12x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $38,000 or approximately 21.25 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4120 CAM Reimbursements	1,460	1,477	1,399	1,570	1,555	1,402	1,461	1,578	1,463	1,603	1,446	1,483	17,896
4130 Tax Reimbursements	12,751	14,284	12,582	13,718	12,929	13,542	13,304	13,331	12,845	12,553	14,322	13,159	159,320
4140 Insurance Reimbursements	10,266	10,881	10,478	10,367	9,698	9,926	10,089	9,687	9,715	9,970	10,885	10,961	122,923
4150 Percentage Rent	31,132	32,636	33,851	32,167	33,682	31,766	33,756	30,221	30,942	31,686	32,340	31,859	386,037
4160 Misc. Income	80,574	75,703	74,759	79,386	80,394	79,353	79,975	72,159	78,971	75,749	77,272	79,635	933,930
4170 Payroll - Management	4,957	4,745	5,137	5,022	4,979	4,637	4,517	4,892	4,872	4,744	4,678	4,548	57,729
4180 Payroll - Leasing	6,054	6,002	6,183	6,326	5,949	6,310	6,139	6,246	6,126	6,450	5,854	6,190	73,828
4190 Payroll - Maintenance	9,904	9,262	9,896	9,593	9,402	8,751	8,996	9,023	9,674	9,813	9,097	9,085	112,496
4200 Payroll Taxes & Benefits	8,468	8,542	8,524	8,421	8,438	8,769	9,037	9,556	8,597	9,209	9,038	8,991	105,589
4210 Repairs - Plumbing	4,454	4,340	4,401	4,363	4,420	4,603	4,152	4,375	4,178	4,340	4,273	4,341	52,241
4220 Repairs - HVAC	5,117	4,867	5,097	5,127	5,442	5,262	5,252	5,197	5,126	5,427	5,371	5,098	62,382
4230 Repairs - Electrical	9,329	9,247	9,657	9,279	9,448	9,588	8,777	9,016	8,899	9,872	9,880	9,028	112,021
4240 Repairs - Appliances	9,757	9,907	9,378	9,383	10,158	10,152	10,739	9,480	9,853	10,048	10,366	9,881	119,103
4250 Painting & Decorating	9,688	9,764	10,361	10,100	9,811	9,425	10,154	10,176	10,279	9,413	10,482	10,338	119,994
4260 Flooring	7,372	7,570	7,857	7,584	7,562	8,060	7,648	7,528	7,945	8,002	8,059	7,681	92,868
4270 Make-Ready / Turnover	10,482	9,821	11,042	9,773	11,049	10,248	10,767	11,021	9,922	11,040	10,671	10,152	125,989
4280 Landscaping Contract	12,085	11,701	12,672	12,734	11,836	12,333	12,026	11,880	12,482	11,962	12,551	12,656	146,918
4290 Snow Removal	4,561	4,365	4,191	4,191	4,502	4,444	3,971	4,114	4,546	4,048	4,515	4,331	51,779
4300 Janitorial	3,677	3,860	3,584	3,709	3,971	3,792	3,860	3,916	3,852	3,762	3,512	3,953	45,448
4310 Pest Control	6,032	5,644	5,505	6,166	5,938	5,456	6,028	6,157	6,169	5,994	5,921	5,876	70,887
4320 Trash Removal	5,365	5,723	5,098	5,042	5,705	5,282	5,558	5,668	5,054	5,596	5,401	5,654	65,145
4330 Elevator Contract	9,183	9,418	9,655	9,180	9,714	9,527	9,110	9,809	9,353	9,426	9,613	9,064	113,049
4340 Fire & Life Safety	8,559	8,529	8,978	9,225	8,937	8,174	8,782	9,276	8,607	8,824	8,364	8,293	104,547
4350 Security	4,634	4,531	4,417	4,286	4,752	4,634	4,656	4,261	4,408	4,578	4,618	4,288	54,062
4360 Electricity - Common	6,822	6,665	6,517	6,778	6,857	6,928	6,914	6,315	6,590	7,015	6,928	6,250	80,579
4370 Gas - Common	8,261	7,226	7,540	8,038	7,262	7,538	7,979	7,925	7,545	7,901	7,422	8,215	92,850
4380 Water & Sewer	6,423	6,519	6,484	6,004	5,909	6,476	6,161	6,088	6,279	5,886	6,142	6,131	74,503
4390 Telephone/Internet	1,847	1,811	1,753	1,939	1,923	1,940	1,945	1,775	1,911	1,945	1,942	1,787	22,517
4400 Advertising	3,116	3,261	3,185	3,187	3,330	3,338	2,977	3,164	2,980	3,078	3,018	3,038	37,672
4410 Resident Events	10,964	11,116	11,437	11,218	11,506	11,396	11,793	11,193	11,393	11,494	11,030	11,122	135,661
4420 Office Supplies	8,867	8,141	9,256	8,827	8,275	8,986	8,779	8,439	8,447	8,797	8,716	8,763	104,294
4430 Legal & Professional	7,011	7,046	6,338	6,778	6,628	6,941	7,180	7,147	6,750	6,937	6,408	6,312	81,476
4440 Accounting & Audit	10,354	9,664	9,346	10,167	10,298	10,080	9,341	10,333	9,465	9,556	10,468	9,313	118,385
4450 Licenses & Permits	3,534	3,697	3,754	4,042	4,016	3,625	3,851	3,850	3,636	3,879	4,001	3,804	45,689
4460 Management Fee	4,328	4,208	4,118	4,281	4,431	4,050	4,399	4,449	4,289	4,404	3,989	4,011	50,957
4470 Property Insurance	9,648	9,269	9,420	9,232	9,255	9,793	9,459	9,131	8,845	9,466	9,231	9,842	112,590
4480 Real Estate Taxes	12,815	12,887	12,908	12,874	12,086	12,876	12,475	12,857	13,099	11,769	12,731	11,584	150,961
4490 Asset Management Fee	4,358	4,373	4,226	4,516	4,204	4,618	4,441	4,636	4,123	4,394	4,434	4,461	52,785
4500 Replacement Reserves	10,590	10,639	10,776	10,725	9,999	10,077	10,201	9,728	9,586	10,849	10,317	9,755	123,242
4510 Roof Repairs	9,649	9,678	9,783	10,858	11,008	9,903	9,891	10,357	10,405	10,046	10,768	10,002	122,347
4520 Parking Lot Repairs	2,424	2,291	2,363	2,443	2,423	2,202	2,484	2,487	2,358	2,373	2,244	2,440	28,532
4530 Signage	11,741	10,757	11,934	11,129	11,715	11,046	10,755	10,643	11,738	10,746	11,302	11,737	135,245
4540 Tenant Improvements	6,260	6,351	5,902	6,037	5,891	6,063	5,879	6,137	6,399	6,502	5,832	5,699	72,952
4550 Leasing Commissions	10,584	11,561	11,044	10,831	11,466	10,426	10,173	11,174	10,625	11,240	11,039	10,899	131,063
4000 Gross Potential Rent	113,504	107,177	104,882	113,787	107,549	110,063	100,771	104,197	108,821	103,084	106,705	108,856	1,289,394

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Income and Expense Review

The going-in capitalization rate of 7.52% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.60x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $426,000, representing a 10.8% increase over the prior year.

The going-in capitalization rate of 7.81% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.47x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. The community provides assisted living and memory care services under a state-issued license with 11 full-time caregivers per shift. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Service requests are tracked through a work-order system with an average completion time of 29 hours. Collections for the period were 92.4% of billed charges, with bad debt of 7.9% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Operating expenses totaled $139,000 or approximately 12.74 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Operating expenses totaled $132,000 or approximately 40.12 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Occupancy stands at 89.2% with an average resident length of stay of 5 years. Debt service coverage ratio was 6.21x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Collections for the period were 92.6% of billed charges, with bad debt of 5.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 41 hours. Dining, housekeeping, transportation and activities programming are included in the base fee.

The community provides assisted living and memory care services under a state-issued license with 38 full-time caregivers per shift. Occupancy stands at 88.1% with an average resident length of stay of 5 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Collections for the period were 96.2% of billed charges, with bad debt of 7.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

The going-in capitalization rate of 6.86% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $441,000 or approximately 34.72 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 39 full-time caregivers per shift.

The community provides assisted living and memory care services under a state-issued license with 3 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $22,000, representing a 2.5% increase over the prior year. Operating expenses totaled $380,000 or approximately 31.38 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.79% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4110 Cable/Internet Revenue	43,056	41,559	39,561	38,899	42,446	39,671	40,231	39,436	40,057	43,032	38,494	41,499	487,942
4120 CAM Reimbursements	45,957	43,207	46,461	45,452	45,633	44,053	44,874	42,868	41,046	42,807	41,290	46,329	529,977
4130 Tax Reimbursements	26,662	29,057	26,584	26,966	27,729	28,828	26,437	28,344	27,328	26,122	26,755	26,973	327,785
4140 Insurance Reimbursements	82,580	81,818	81,136	81,204	79,629	87,542	81,149	77,001	82,667	85,892	79,119	79,435	979,173
4150 Percentage Rent	90,796	91,071	83,588	86,756	93,846	83,826	93,294	87,927	92,199	90,567	94,135	84,980	1,072,986
4160 Misc. Income	9,985	11,428	9,957	10,035	11,202	10,866	11,301	10,895	10,852	10,183	10,208	11,242	128,154
4170 Payroll - Management	5,099	4,827	4,826	5,143	5,042	4,856	5,334	5,076	5,085	5,285	4,779	5,242	60,594
4180 Payroll - Leasing	5,781	5,934	5,935	6,358	5,912	5,746	6,281	6,262	6,354	5,826	6,380	6,058	72,827
4190 Payroll - Maintenance	5,628	5,246	5,344	5,824	5,793	5,678	5,274	5,352	5,774	5,347	5,329	5,157	65,745
4200 Payroll Taxes & Benefits	4,692	4,616	4,400	4,277	4,235	4,163	4,122	4,137	4,652	4,100	4,466	4,630	52,488
4210 Repairs - Plumbing	7,169	7,180	7,099	6,943	6,792	6,833	7,087	6,378	7,135	6,437	7,301	7,284	83,637
4220 Repairs - HVAC	7,311	7,028	6,943	7,135	6,920	7,124	7,342	7,459	7,334	7,373	7,419	7,167	86,554
4230 Repairs - Electrical	2,772	2,852	2,637	2,774	2,634	2,684	2,798	2,835	2,809	2,755	2,766	2,627	32,942
4240 Repairs - Appliances	8,002	7,268	7,519	7,881	7,446	7,248	7,605	7,739	8,145	7,813	7,622	7,858	92,145
4250 Painting & Decorating	8,544	8,103	8,608	8,107	8,487	8,253	8,587	7,815	7,841	8,349	8,307	7,951	98,952
4260 Flooring	1,569	1,506	1,453	1,516	1,525	1,450	1,537	1,571	1,578	1,455	1,429	1,542	18,132
4270 Make-Ready / Turnover	4,530	4,855	4,790	4,357	4,490	4,701	4,579	4,335	4,696	4,353	4,732	4,676	55,094
4280 Landscaping Contract	9,533	9,364	8,685	9,812	8,775	8,845	9,540	8,794	9,850	9,714	9,160	8,835	110,907
4290 Snow Removal	10,032	9,731	9,734	10,233	10,530	10,933	11,064	10,754	10,322	10,258	10,215	10,332	124,137
4300 Janitorial	4,680	4,636	5,272	4,807	5,193	5,268	4,761	5,231	5,218	4,623	4,982	4,770	59,441
4310 Pest Control	11,015	11,856	11,117	11,039	12,250	12,418	12,278	11,346	11,237	11,102	11,840	11,257	138,756
4320 Trash Removal	5,122	5,168	4,906	4,648	4,782	5,072	5,125	4,883	5,246	5,069	4,769	5,146	59,938
4330 Elevator Contract	13,263	12,138	13,315	13,524	12,408	12,582	13,268	12,838	12,352	12,312	12,649	12,167	152,815
4340 Fire & Life Safety	3,724	3,988	3,854	3,642	3,767	4,020	4,080	3,824	3,845	3,919	3,633	3,961	46,256
4350 Security	8,711	8,423	9,446	8,593	8,448	9,628	8,424	8,968	8,691	8,810	8,616	9,610	106,368
4360 Electricity - Common	8,541	8,178	7,999	7,512	8,227	7,854	8,218	8,390	8,561	8,266	8,333	7,659	97,738
4370 Gas - Common	3,627	3,800	3,555	3,506	3,732	3,926	3,965	3,540	3,650	3,983	4,029	4,002	45,314
4380 Water & Sewer	11,530	11,820	11,795	12,744	11,898	12,591	11,600	12,450	12,357	11,351	12,628	12,876	145,640
4390 Telephone/Internet	8,031	8,737	8,023	8,576	7,788	7,992	8,666	8,790	7,807	8,815	7,746	7,823	98,791
4400 Advertising	11,973	11,822	11,911	10,620	10,723	11,247	10,833	11,334	11,653	10,558	11,289	11,207	135,171
4410 Resident Events	2,382	2,546	2,519	2,560	2,553	2,606	2,370	2,355	2,376	2,593	2,611	2,340	29,811
4420 Office Supplies	5,985	5,496	5,832	5,779	5,754	5,490	6,205	6,025	6,060	5,771	5,508	5,988	69,894
4430 Legal & Professional	11,093	10,626	10,476	10,518	10,636	10,041	9,995	10,777	10,786	11,202	10,263	10,198	126,609
4440 Accounting & Audit	6,008	5,599	5,386	5,429	5,765	5,622	5,849	5,779	5,820	6,044	5,415	5,717	68,433
4450 Licenses & Permits	13,321	12,698	12,118	12,330	11,954	12,571	13,058	12,511	12,742	12,147	13,352	12,393	151,195
4460 Management Fee	11,705	12,278	13,129	13,032	11,705	12,460	12,539	11,665	12,222	12,754	12,089	12,878	148,457
4470 Property Insurance	2,779	3,021	2,994	2,749	3,018	2,958	2,822	2,767	3,024	2,915	3,075	2,943	35,065
4480 Real Estate Taxes	6,550	6,637	6,755	6,471	7,028	6,480	6,982	6,774	6,690	7,263	7,355	7,266	82,253
4490 Asset Management Fee	11,488	11,582	11,864	12,357	12,904	12,665	12,033	11,963	12,519	12,851	11,671	13,061	146,959
4500 Replacement Reserves	12,889	12,969	11,929	12,538	12,265	12,664	12,930	12,562	13,161	12,497	12,009	12,567	150,981
4510 Roof Repairs	7,455	6,626	7,183	6,862	6,865	7,465	6,860	6,507	6,504	6,834	7,472	7,068	83,700
4520 Parking Lot Repairs	2,538	2,374	2,505	2,606	2,653	2,661	2,431	2,558	2,394	2,498	2,571	2,380	30,170
4530 Signage	9,204	9,069	9,638	9,094	9,141	9,321	9,995	9,568	10,097	9,709	9,537	9,472	113,848
4540 Tenant Improvements	4,344	4,361	4,133	4,246	4,181	4,494	4,393	4,019	4,423	4,209	4,461	4,233	51,497
4550 Leasing Commissions	5,843	6,109	5,741	6,171	6,418	5,829	5,857	5,931	6,369	5,836	6,391	6,308	72,802
4000 Gross Potential Rent	105,634	115,127	108,426	113,319	102,092	101,788	108,588	104,188	109,775	113,966	103,184	106,053	1,292,141
4010 Loss to Lease	28,537	29,424	27,130	27,898	27,935	27,128	28,124	29,888	27,353	28,127	27,575	28,254	337,372

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Summary and Notes

Income and Expense Review

Debt service coverage ratio was 7.08x on a trailing basis against a covenant minimum of 1.20x. Occupancy stands at 89.9% with an average resident length of stay of 7 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 16 full-time caregivers per shift. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 28 full-time caregivers per shift. Occupancy stands at 94.1% with an average resident length of stay of 12 years.

Management Commentary

The community provides assisted living and memory care services under a state-issued license with 17 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Service requests are tracked through a work-order system with an average completion time of 11 hours. Occupancy stands at 89.7% with an average resident length of stay of 10 years. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Occupancy stands at 91.6% with an average resident length of stay of 9 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community provides assisted living and memory care services under a state-issued license with 35 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 40 hours.

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